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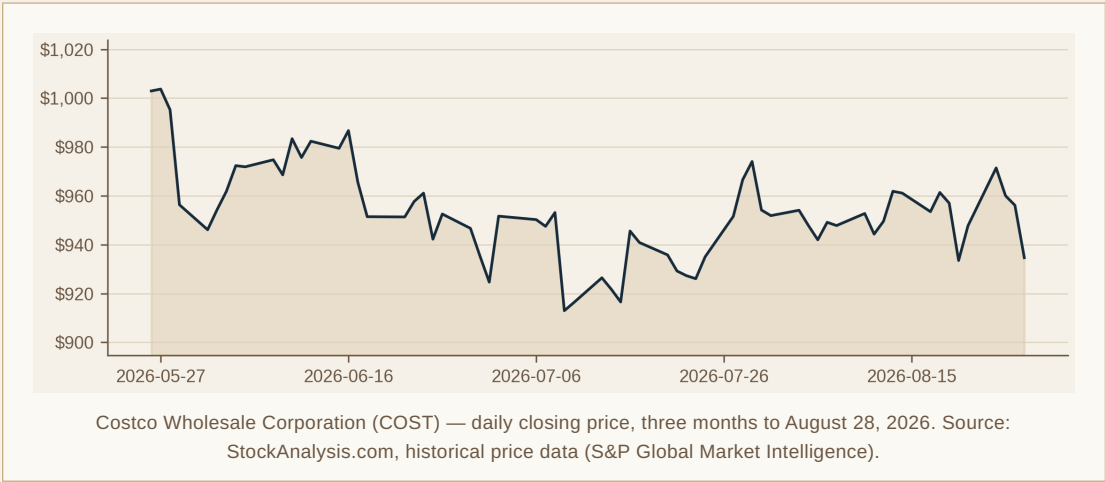
COSTCO

Costco Wholesale Corporation

NASDAQ: COST · United States

\$945.47

Closing price, August 28, 2026 · NASDAQ Global Select Market



Executive Summary

Costco Wholesale Corporation operates a membership-only warehouse club model that sells a deliberately narrow assortment of merchandise at high volume and thin markup, and converts customer loyalty into a second, high-margin revenue stream: the annual membership fee. The business is best understood not as a discount retailer but as a subscription-supported wholesale distributor, in which merchandise sales fund the operation and membership fees fund the profit.

Business

Costco operates 914 to roughly 940 membership warehouses across 14 countries, generating revenue primarily from net merchandise sales across Foods and Sundries, Non-Foods, Fresh Foods, and Warehouse Ancillary businesses (gasoline, pharmacy, optical, food court, travel), supplemented by recurring membership fee income. The United States accounts for the large majority of warehouse count and net sales, with Canada and a growing Other International segment (Mexico, Japan, the United Kingdom, Korea, Australia, Taiwan, China, Spain, France, Iceland, New Zealand, Sweden) providing the principal growth runway. Costco reported 147.2 million cardholders worldwide in 2026, with worldwide renewal rates near 89.8 percent and 92 percent in the United States and Canada combined.

Financial Condition

Trailing-twelve-month revenue of \$293.6 billion grew 9.2 percent year over year, with operating income of \$11.2 billion (3.8 percent operating margin) and net income of \$8.8 billion (3.0 percent net margin). Operating cash flow of \$15.0 billion funded \$6.2 billion of capital expenditure, leaving \$8.8 billion of free cash flow. The balance sheet carries a net cash position of \$11.8 billion, the strongest in at least six fiscal years, following a decline in total debt from \$11.4 billion in fiscal 2021 to \$8.2 billion currently.

Market Position

Costco's principal competitors are Walmart Inc. (through its Sam's Club warehouse format and supercenter grocery offering), Target Corporation, and BJ's Wholesale Club Holdings, the only other pure-play warehouse club of scale in the United States. Costco's structural advantage is a self-reinforcing low-price flywheel funded by membership fees rather than merchandise margin, which supports a 92 percent renewal rate; its principal weakness relative to full-line retailers is a narrow assortment and limited digital fulfillment infrastructure relative to Walmart and Amazon.

Valuation

At the August 28, 2026 close of \$945.47, Costco carries a market capitalization of \$419.3 billion and an enterprise value of \$407.5 billion (net cash reduces enterprise value below market capitalization). The stock trades at 47.6 times trailing earnings, 29.6 times EV/EBITDA, and 47.6 times free cash flow, multiples that sit well above the discount and full-line retail peer group and are elevated relative to Costco's own five-year trailing average.

Investment Framework

WHAT IS ATTRACTIVE	A recurring, high-retention membership fee stream (\$5.8 billion trailing twelve months) that converts a low-margin merchandise business into a compounding annuity; a net cash balance sheet; six consecutive years of operating margin expansion; and a still-early international warehouse footprint relative to the addressable market in existing countries.
WHAT IS CONCERNING	A valuation that has expanded faster than earnings in fiscal 2024 and fiscal 2025 (P/E rose from 38.3x in fiscal 2023 to a peak above 53x in fiscal 2024 before moderating to 47.6x currently), leaving limited room for multiple error; and a merchandise gross margin structure that affords little flexibility if membership growth decelerates.
WHAT MUST GO RIGHT	Continued double-digit membership fee growth, sustained comparable sales growth in the high single digits, and successful scaling of newer ancillary initiatives (Costco Logistics, Costco Health, digital delivery partnerships) without diluting the core low-price value proposition.
WHAT COULD BREAK THE THESIS	A renewal rate decline, a slowdown in new warehouse openings, margin compression from tariff or freight cost pass-through that the company cannot fully offset, or a broader consumer pullback that disproportionately affects bulk discretionary purchases.
WHAT APPEARS PRICED IN	A base-case discounted cash flow analysis in this report (Section C5) using consensus-consistent growth and a market-derived discount rate produces a fair value range well below the current price, implying the market is pricing in either a substantially longer runway of above-average compounding than a conventional five-year explicit forecast captures, or is applying a lower effective discount rate to Costco's cash flows than its estimated cost of capital would suggest, reflecting a quality and duration premium.

Investment Profile

BUSINESS QUALITY	High. Recurring membership economics, high inventory turnover, and a self-funding low-price model with limited reliance on merchandise margin.
FINANCIAL QUALITY	High. Net cash balance sheet, cash conversion consistently above 100 percent of net income, low leverage (net debt/EBITDA negative).
COMPETITIVE POSITION	Strong within the membership warehouse format; the only other national-scale operator is Sam's Club (within Walmart) and BJ's Wholesale in the northeastern United States.
GROWTH PROFILE	Moderate to strong. High single-digit revenue growth, decelerating warehouse growth rate, offset by membership fee and ancillary business growth.
BALANCE-SHEET RISK	Low. Net cash position, interest coverage in excess of 75 times, investment-grade credit profile.
VALUATION	Elevated relative to historical range and to discount/full-line retail peers; supported by earnings quality and growth durability rather than by conventional multiple support.
MARKET AND TECHNICAL PROFILE	Low beta (0.86), 52-week range of \$844 to \$1,097; the stock traded below its 200-day moving average through much of the summer of 2026 following a peak near \$1,097 in the spring.

A. About The Business

A1. Business Environment

Costco competes in the discount and warehouse club segment of general merchandise and grocery retail, a segment of the broader \$6 trillion-plus United States retail industry. The warehouse club format, pioneered by the Price Club chain that opened its first location in San Diego in 1976, is characterized by membership-gated access, large-format stores (typically 130,000 to 180,000 square feet), pallet-level merchandising that minimizes labor cost per unit sold, a deliberately limited number of stock-keeping units (Costco carries approximately 3,800 to 4,000 active items, versus tens of thousands at a conventional supermarket or supercenter), and rapid inventory turnover.

The industry's economics are unusual among retail formats: merchandise is typically sold near breakeven or at a low single-digit gross-to-operating margin spread, while the membership fee itself approximates the operating profit pool. This means the operator's central strategic problem is not maximizing margin per unit sold, but maximizing member enrollment, retention, and per-member spending, and using purchasing scale to keep shelf prices below those of conventional retail competitors. Because a narrow assortment concentrates purchase volume per item, warehouse club operators can negotiate more favorable terms with suppliers than diversified-assortment retailers of comparable total revenue.

Reasoned: the segment is best classified as mature and consolidating in its home market of North America, where warehouse club penetration is already extensive, and as an emerging or growing format in a subset of the international markets Costco has entered (Spain, France, China), where warehouse-format retail is less established relative to traditional and modern grocery trade. The industry is moderately capital intensive (large-format real estate, refrigeration, logistics) but has historically supported high returns on invested capital because the membership fee revenue requires little incremental capital once the warehouse network is built.

A2. What Does The Company Do?

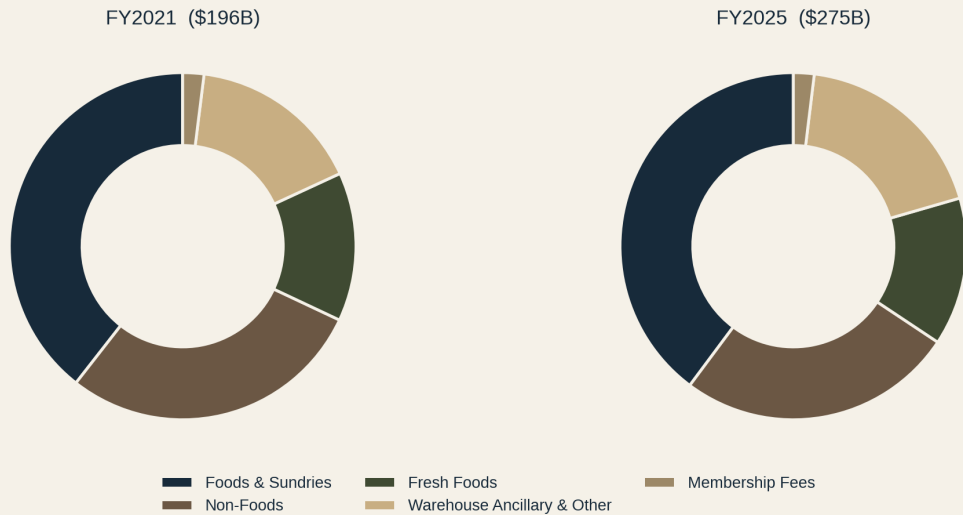
Costco Wholesale Corporation operates membership warehouses in the United States, Puerto Rico, Canada, Mexico, Japan, the United Kingdom, Korea, Australia, Taiwan, China, Spain, France, Iceland, New Zealand, and Sweden, together with a growing e-commerce operation and ancillary businesses. Merchandise is organized into four principal categories reported by the company: Foods and Sundries (packaged and perishable grocery items, candy, snacks, beverages, alcohol, tobacco); Non-Foods (appliances, electronics, health and beauty aids, hardware, apparel, furniture, tires, jewelry, and seasonal goods); Fresh Foods (meat, produce, bakery, and deli); and Warehouse Ancillary and Other Businesses, which includes gasoline stations, pharmacies, optical centers, food courts, hearing-aid centers, tire installation, business delivery, travel, and, most recently, an initial rollout of Costco-branded Medicare Advantage plans developed with SCAN Health Plan.

Membership itself is sold in two tiers: a Gold Star or Business membership priced at \$65 per year in the United States and Canada, and an Executive membership priced at \$130 per year (a \$65 base fee plus a \$65 upgrade) that returns up to 2 percent of qualifying annual spending, capped at \$1,250. Both tiers were increased from \$60 and \$120 respectively effective September 1, 2024, the first fee increase since June 2017, affecting roughly 52 million memberships.

How A Dollar Moves Through Costco

CUSTOMER	Approximately 147.2 million cardholders worldwide pay an annual membership fee for warehouse access, decoupling Costco's profit pool from the price of any single item sold.
PRODUCT / SERVICE	A curated assortment of roughly 3,800 to 4,000 active items, weighted toward private-label Kirkland Signature products, sold in bulk pack sizes that lower per-unit handling cost.
REVENUE	Net merchandise sales (approximately 98 percent of revenue) are priced near cost-plus-fixed-markup; membership fees (approximately 2 percent of revenue but a much larger share of profit) are recognized ratably over the membership year.
COSTS	Cost of merchandise sold dominates the cost structure (gross margin of approximately 12.9 percent, among the lowest of major listed retailers); selling, general and administrative expense is held low through pallet merchandising, high sales density per warehouse, and limited advertising spend.
OPERATING PROFIT	Operating income of \$11.2 billion trailing twelve months is generated on a 3.8 percent operating margin, with membership fee income (\$5.8 billion) contributing the majority of consolidated operating profit despite being a small share of revenue.
CASH FLOW	Because merchandise is sold to members before Costco must pay its suppliers (a negative cash conversion cycle typical of high-turnover retail), operating cash flow of \$15.0 billion trailing twelve months exceeds net income, funding capital expenditure of \$6.2 billion with \$8.8 billion left over as free cash flow.
CAPITAL ALLOCATION	Free cash flow is directed toward new warehouse construction, a growing ordinary quarterly dividend (raised for 21 consecutive years) supplemented periodically by special dividends, and modest share repurchases.

Revenue Composition By Merchandise Category (\$ billion, fiscal year basis)



Sourced: StockAnalysis.com, company key performance indicators derived from Costco Wholesale Corporation quarterly and annual filings. Figures are net sales by merchandise category before intersegment eliminations; totals include membership fee income.

A3. Business And Relationship Network

COMPANY	Costco Wholesale Corporation (NASDAQ: COST), headquartered in Issaquah, Washington.
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PRIVATE LABEL	Kirkland Signature, Costco's house brand, spans grocery, apparel, appliances, and household goods, and is estimated by industry press to represent roughly a quarter of net sales; it improves merchandise margin relative to comparable national brands while reinforcing the value positioning that supports membership renewal.
SUPPLIERS	A broad base of national and private-label manufacturers; Costco's purchasing scale and limited assortment concentrate order volume per supplier relationship, a structural source of negotiating leverage.
DISTRIBUTION	A network of regional and depot distribution centers supporting cross-docking of merchandise directly to warehouses; Costco Logistics (the former Innovent Solutions, acquired in 2020) handles big-and-bulky home delivery for appliances and furniture.
DIGITAL PARTNERS	Instacart provides same-day delivery of grocery and, as announced in August 2026, custom cakes and party platters ordered through Instacart's marketplace and sameday.costco.com.
HEALTHCARE PARTNER	SCAN Health Plan, a nonprofit Medicare Advantage insurer, is Costco's partner in the limited multi-state rollout of Costco-branded Medicare Advantage plans announced in 2026, extending the membership relationship into insurance distribution.
FINANCIAL PARTNER	Visa is the exclusive credit card network at United States Costco locations, with the Costco Anywhere Visa Card issued by Citigroup providing a cash-back loyalty mechanism layered on top of membership.
COMPETITORS	Walmart Inc. (Sam's Club and Walmart supercenters), Target Corporation, BJ's Wholesale Club Holdings, and, for specific categories, Amazon.com.

Reasoned: relationship descriptions reflect publicly reported partnerships and industry structure; the Kirkland Signature share-of-sales figure is an externally estimated proxy commonly cited in industry commentary rather than a line item Costco discloses precisely in its financial statements.

A4. Competition

COMPETITIVE COMPARISON — WAREHOUSE CLUB AND DISCOUNT RETAIL

Company	What They Sell	Target Customer	Scale (TTM Revenue)	Key Advantage	Key Disadvantage
Costco Wholesale (COST)	Bulk grocery, general merchandise, private label, ancillary services	Value-seeking households and small businesses	\$293.6bn	Membership fee funds low prices; highest inventory turnover in peer set	Narrow assortment; weaker e-commerce infrastructure than Walmart or Amazon
Walmart Inc. – Sam's Club and core (WMT)	Full-line grocery and general merchandise; Sam's Club warehouse format	Mass-market, value and convenience-seeking households	\$735.8bn	Largest scale and logistics network in United States retail; growing advertising and membership income	Lower operating margin discipline in core Walmart banner; Sam's Club a minority of total revenue
Target Corporation (TGT)	Full-line general merchandise and grocery, style-forward private label	Suburban, higher-income discretionary shopper	\$107.7bn	Higher gross margin from apparel and home categories; strong owned-brand portfolio	Weaker traffic trends in 2024 to 2025; Altman Z-Score near distress threshold

Company	What They Sell	Target Customer	Scale (TTM Revenue)	Key Advantage	Key Disadvantage
BJ's Wholesale Club Holdings (BJ)	Bulk grocery and general merchandise, warehouse club format	Value-seeking households, concentrated in the northeastern United States	\$22.8bn	Direct format peer to Costco; lower membership price point	Regional concentration; smaller purchasing scale limits price competitiveness against Costco

Costco and BJ's Wholesale are the only two independently listed pure-play membership warehouse operators of scale in the United States; Sam's Club is a segment within Walmart rather than a separately reported entity, which limits direct like-for-like comparison but does not diminish its competitive relevance, particularly in overlapping trade areas. Amazon.com is treated as an indirect and category-specific competitor: Costco's model depends on in-person bulk purchasing and warehouse traffic that Amazon does not replicate, but Amazon competes for the same household wallet share in electronics, household goods, and increasingly grocery through Whole Foods Market and Amazon Fresh.

A5. Competitive Differences

Advantages. Costco's central structural advantage is the decoupling of profit from merchandise margin: because membership fees fund the majority of operating profit, management can price merchandise near cost, which in turn drives the volume and renewal rates that sustain the fee pool. This is a reinforcing loop rather than a static cost advantage, and it is difficult for a full-line retailer without a membership gate to replicate, since removing merchandise margin without a substitute profit source would be value-destructive. Additional advantages include purchasing scale concentrated across a narrow assortment, very high inventory turnover (approximately 13.5 times trailing twelve months, versus 9.2 times at Walmart and 5.9 times at Target), and a private-label program (Kirkland Signature) that reinforces price leadership while improving mix.

Disadvantages. The same narrow assortment that drives purchasing leverage limits Costco's addressable share of a household's total spending relative to a full-line retailer, and its warehouse format is inherently less suited to small-basket, high-frequency, or urgent purchases than a supermarket or convenience channel. Costco's e-commerce and last-mile delivery infrastructure remains less developed than Walmart's or Amazon's, a disadvantage that is only partially offset by the Instacart partnership. Merchandise gross margin (12.9 percent) affords little buffer if input costs, tariffs, or freight rates rise faster than the company can reprice, and the business is exposed to a renewal-rate shock if the value proposition erodes relative to competitors.

Reasoned: temporary advantages include the current gap in scale versus BJ's Wholesale in warehouse count and purchasing power, which could narrow gradually as BJ's grows; structural advantages include the membership-funded pricing model itself, private-label penetration, and the operational discipline embedded in Costco's low-SKU merchandising system, which are not easily replicated by a competitor starting from a different cost base.

MOAT ASSESSMENT

Strong. The membership-fee flywheel, reinforced by scale purchasing and a 92 percent renewal rate in Costco's largest markets, constitutes a durable structural advantage; it falls short of Very Strong because the format faces a credible, though smaller-scale, direct peer in BJ's Wholesale and category-level competition from Walmart and Amazon that limits pricing power at the margin.

A6. Industry Trend

United States warehouse club penetration has grown steadily over the past decade, aided by inflation-driven trade-down behavior in 2022 to 2023 that broadened the format's appeal beyond its traditional suburban, larger-household customer base. Costco's own comparable sales trends through 2026 (high single-digit to low double-digit growth in recent monthly sales releases, including a reported 8.9 percent total comparable sales increase and 10.7 percent net sales increase for the four weeks ended August 2, 2026) indicate the format continues to take modest share from conventional grocery and discount retail. Structurally, the trend is supported by continued private-label expansion across retail broadly, growing digitally-enabled sales (Costco reported 17.7 percent growth in digitally-enabled sales in the same July 2026 period), and international expansion into markets with comparatively low warehouse-club penetration, such as China, Spain, and France.

Reasoned: the domestic United States segment of the industry is best classified as mature, with growth driven primarily by new warehouse openings and membership fee increases rather than by rising penetration, while the international segment is better classified as growing, given the lower base of warehouse density outside North America. A reversal of the current trend would most likely originate from a normalization of consumer trade-down behavior as inflation moderates, from tariff-driven cost increases that compress the price gap versus conventional retail, or from intensified competition in adjacent formats such as dollar stores and discount grocery chains.

A7. Management

KEY EXECUTIVES

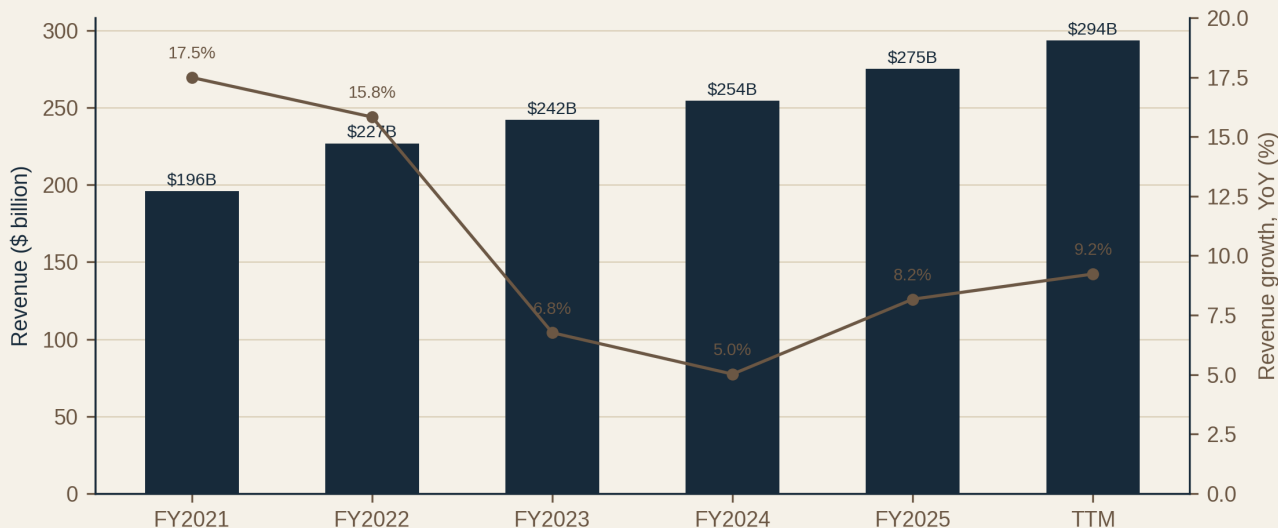
Name	Position	Background
Ron M. Vachris	President, Chief Executive Officer and Director	Joined the company (then Price Club) as a forklift driver in 1982; held regional merchandising and operating roles through the 1990s and 2000s; regional vice president from 1999; Chief Operating Officer from 2016; became Costco's third Chief Executive Officer in January 2024, succeeding Craig Jelinek.
Gary Millerchip	Executive Vice President and Chief Financial Officer	Joined Costco in early 2024 after 15 years at The Kroger Co., including service as Kroger's Chief Financial Officer from 2019; earlier spent more than 20 years in retail and consumer banking, including at NatWest Group (formerly Royal Bank of Scotland) in the United Kingdom; holds a degree from the University of Warwick's Warwick Business School. Succeeded long-serving Costco CFO Richard Galanti.

Reasoned: Vachris's four-decade tenure inside Costco's operating structure, culminating in promotion from Chief Operating Officer rather than external hire, is consistent with Costco's historical pattern of promoting from within (its two prior chief executives, James Sinegal and Craig Jelinek, both followed similar internal career paths), which industry observers and the company's own governance disclosures associate with continuity in the membership-fee-funded low-price operating model. Millerchip's appointment represented a departure from that pattern for the CFO seat specifically, bringing external retail and banking finance experience following Galanti's long tenure. Costco's capital allocation record, evident in the balance sheet data in Section C2, of maintaining net cash, a 21-year unbroken record of ordinary dividend increases, and periodic special dividends funded from free cash flow rather than incremental debt, is consistent with a conservative approach to capital allocation aligned with long-term shareholder interests rather than aggressive buyback-driven financial engineering.

B. Evaluation

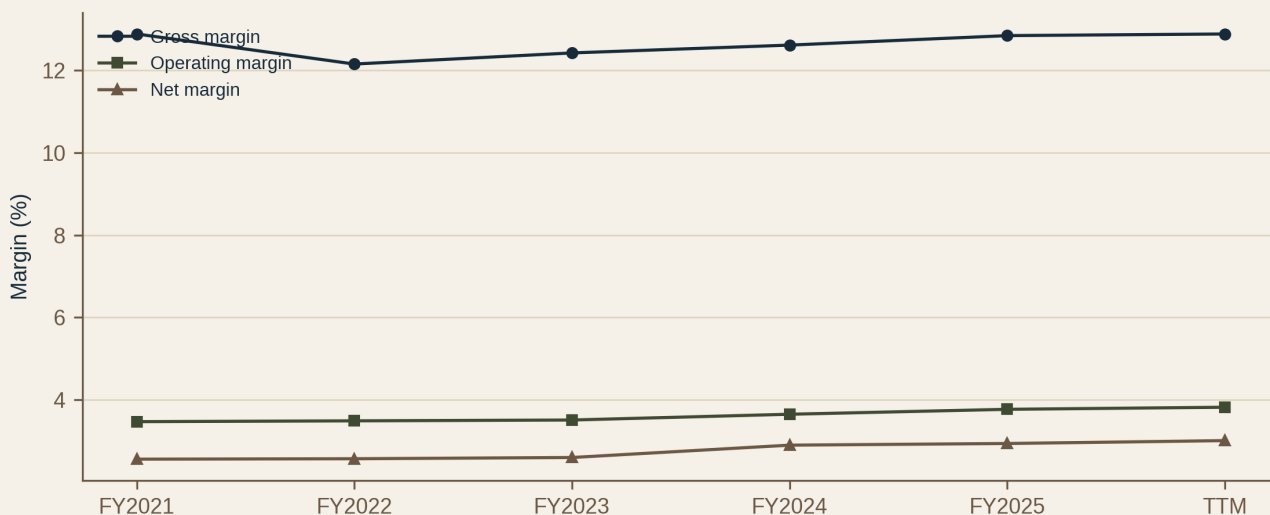
B1. Financial And Operating Metrics

Revenue And Revenue Growth (Fiscal Year, \$ Billion)



Sourced: StockAnalysis.com income statement data (S&P Global Market Intelligence). Fiscal year ends the Sunday closest to August 31.

Gross, Operating And Net Margin (Fiscal Year, %)



Sourced: StockAnalysis.com income statement data.

Costco's gross margin has held in a narrow 12.1 to 12.9 percent band across the past six fiscal years, evidence of a deliberately stable pricing philosophy rather than opportunistic margin expansion. Operating margin has expanded from 3.47 percent in fiscal 2021 to 3.82 percent trailing twelve months, driven primarily by membership fee growth (up 49 percent cumulatively over the period) and operating leverage on selling, general and administrative expense as warehouse sales density has risen, rather than by gross margin expansion. Net margin of 3.01 percent trailing twelve months remains below that of Target (4.08 percent) despite Costco's superior operating margin trend, reflecting Target's structurally higher gross margin from apparel and home categories against Costco's bulk-grocery-weighted mix.

PROFITABILITY AND EFFICIENCY RATIOS, FISCAL YEAR

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM
Gross margin	12.88%	12.15%	12.42%	12.61%	12.84%	12.88%
Operating margin	3.47%	3.49%	3.51%	3.65%	3.77%	3.82%
Net margin	2.56%	2.57%	2.60%	2.90%	2.94%	3.01%
Return on equity	27.62%	30.55%	27.53%	30.27%	30.69%	29.15%
Return on assets	7.39%	8.01%	7.98%	8.36%	8.83%	8.67%
Return on invested capital	30.56%	31.57%	30.86%	32.83%	33.62%	38.44%
Asset turnover (x)	3.41	3.68	3.64	3.67	3.75	3.63
Inventory turnover (x)	12.90	12.41	12.28	12.60	13.05	13.45

Sourced: StockAnalysis.com financial ratio history (S&P Global Market Intelligence), derived from Costco Wholesale Corporation SEC filings. Return on invested capital and return on assets are calculated metrics rather than figures Costco discloses directly.

Return on invested capital of 38.4 percent trailing twelve months, up from 30.6 percent in fiscal 2021, indicates Costco continues to generate returns on incremental warehouse investment well in excess of its estimated cost of capital of approximately 8.8 percent, a spread that is unusually wide even among high-quality retailers and is the central justification cited by bulls for the stock's premium multiple. Return on equity of 29.15 percent, modestly below return on invested capital, reflects a debt-light capital structure (debt/equity of 0.25) rather than leverage-amplified returns, a higher-quality composition of return than a peer generating comparable ROE through greater balance-sheet leverage.

B2. Risks

STRUCTURED RISK ASSESSMENT

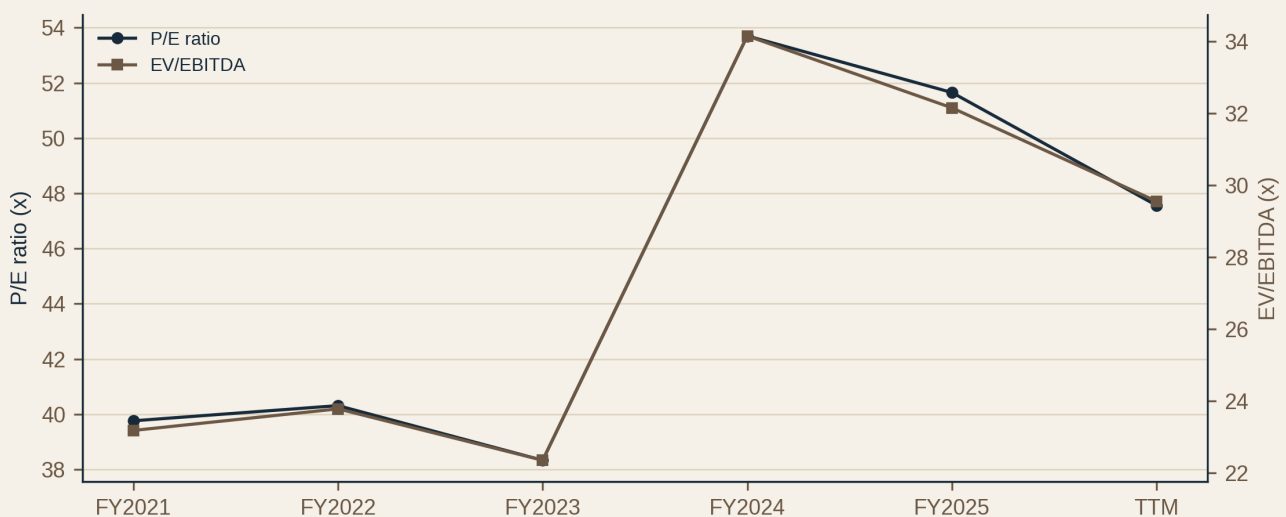
Category	Risk	Probability × Impact
Business	Renewal-rate erosion if the price gap versus conventional retail narrows, particularly if inflation normalizes and the trade-down tailwind of 2022 to 2024 reverses	Moderate
Business	Geographic concentration: the United States and Canada together represent the substantial majority of warehouses and net sales, limiting near-term diversification benefit from international growth	Moderate
Financial	Thin merchandise gross margin (12.9 percent) leaves limited buffer to absorb cost inflation without repricing, which management has historically been reluctant to do for core items	Moderate
Competitive	Intensifying price and format competition from Walmart's Sam's Club, from Amazon in general merchandise and grocery, and from BJ's Wholesale expansion outside its northeastern core	Moderate
Technological	Slower digital and last-mile fulfillment capability relative to Walmart and Amazon could erode share of wallet in categories increasingly purchased online	Low to Moderate
Regulatory	Tariff policy affecting imported merchandise; the company has publicly committed to refunding members for certain tariff-related cost pass-throughs, an unusual and margin-sensitive policy	Moderate
Macro	A broader consumer spending pullback would disproportionately affect bulk and discretionary categories relative to smaller-basket necessity spending	Low to Moderate

Category	Risk	Probability × Impact
Valuation	A trailing P/E of 47.6 times and EV/EBITDA of 29.6 times, both above Costco's own five-year average and well above peer multiples, leave the stock exposed to multiple compression on any growth or margin disappointment	Moderate to High

The three risks most capable of permanently impairing shareholder value are, in order: a sustained deterioration in the membership renewal rate, which would directly undermine the fee-funded pricing model that is the core of Costco's competitive advantage; a valuation reset driven by decelerating comparable sales growth, given how much of the current share price appears to depend on sustained above-average growth (see Section C5); and a structural erosion of Costco's price advantage from tariff or input-cost inflation that the company either absorbs (compressing an already thin merchandise margin) or passes through (weakening the value proposition that drives renewal).

B3. Valuation

Valuation Multiple History, Fiscal Year



Sourced: StockAnalysis.com financial ratio history. Fiscal-year-end multiples except the current column, which reflects the August 28, 2026 close.

VALUATION MULTIPLES — COSTCO VERSUS PEERS, CURRENT

Metric	Costco	Walmart	Target	BJ's Wholesale
Trailing P/E	47.56x	37.36x	16.92x	19.85x
Forward P/E	43.14x	34.50x	17.57x	18.65x
EV / EBITDA	29.55x	18.76x	10.19x	12.23x
EV / Sales	1.39x	1.20x	0.82x	0.62x
P / Free cash flow	47.61x	60.73x	16.64x	31.95x
Dividend yield	0.62%	0.96%	2.84%	n/a

Sourced: StockAnalysis.com statistics pages for each ticker (S&P Global Market Intelligence), as of August 28 to 29, 2026.

Costco trades at a substantial premium to Walmart, Target, and BJ's Wholesale on both earnings and enterprise-value multiples, a premium that has been a persistent feature of the stock rather than a recent development: trailing P/E has exceeded 38 times in every fiscal year since 2023. The premium is best explained by Costco's combination of return on invested capital (38.4 percent, more than double Walmart's 14.7 percent and roughly triple Target's and BJ's), balance-sheet quality (net cash versus net debt at all three peers), and revenue growth durability, rather than by superior net margin, where Costco (3.01 percent) trails both Walmart (3.00 percent, essentially in line) and Target (4.08 percent, higher).

B4. Capital Market And Stock Analysis

PRICE PERFORMANCE AND TRADING STATISTICS

Metric	Value
Closing price, August 28, 2026	\$945.47
52-week range	\$844.06 – \$1,096.50
52-week price change	-0.43%
50-day moving average	\$945.78
200-day moving average	\$959.94
Relative Strength Index (14-day)	48.05
Beta (5-year, versus broad market)	0.86
Average daily volume (20-day)	1.71 million shares
Short interest (% of float)	1.67%

Sourced: StockAnalysis.com statistics page, as of August 29, 2026 (S&P Global Market Intelligence and CBOE real-time price data).

Costco's beta of 0.86 and historically low realized volatility relative to the broader market are consistent with its status as a defensive, subscription-supported retailer whose revenue is less sensitive to macroeconomic swings than discretionary retail peers. The stock reached a 52-week high near \$1,097 in the spring of 2026 before declining through the summer to trade modestly below both its 50-day and 200-day moving averages by late August, with a Relative Strength Index near 48 indicating a broadly neutral, range-bound technical posture rather than a pronounced trend in either direction. The essentially flat 52-week price change (-0.43 percent) contrasts with continued double-digit earnings growth over the same period, indicating the stock's valuation multiple compressed modestly over the trailing year even as fundamentals improved — a normalization from the more stretched multiples of fiscal 2024 (P/E above 53 times at that fiscal year-end) rather than a deterioration in the underlying business.

Reasoned: the technical structure (price consolidating below prior highs, moving averages converging) and the fundamental picture (continued double-digit revenue and earnings growth, expanding operating margin) are not fully aligned at present; the stock's recent underperformance relative to earnings growth suggests the market has been digesting the prior multiple expansion rather than reflecting a change in operating trajectory, though this interpretation should be weighed against the possibility that slower forward multiple support reflects genuine concern about the durability of current growth rates.

C. Financial Statements

C1. Income Statement

CONSOLIDATED INCOME STATEMENT, FISCAL YEAR (\$ MILLION EXCEPT PER-SHARE DATA) — REPORTED

Line Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM
Revenue	195,929	226,954	242,290	254,453	275,235	293,587
Revenue growth	17.5%	15.8%	6.8%	5.0%	8.2%	9.2%
Gross profit	25,245	27,572	30,095	32,095	35,349	37,802
Operating income	6,792	7,911	8,505	9,285	10,383	11,225
Net income	5,007	5,844	6,292	7,367	8,099	8,838
Diluted earnings per share	\$11.27	\$13.14	\$14.16	\$16.56	\$18.21	\$19.88

Sourced: StockAnalysis.com income statement (S&P Global Market Intelligence), derived from Costco Wholesale Corporation Form 10-K and Form 10-Q filings with the SEC. Fiscal year ends on the Sunday closest to August 31; TTM reflects the twelve months ended May 10, 2026, the most recent reported quarter end at the time of this report.

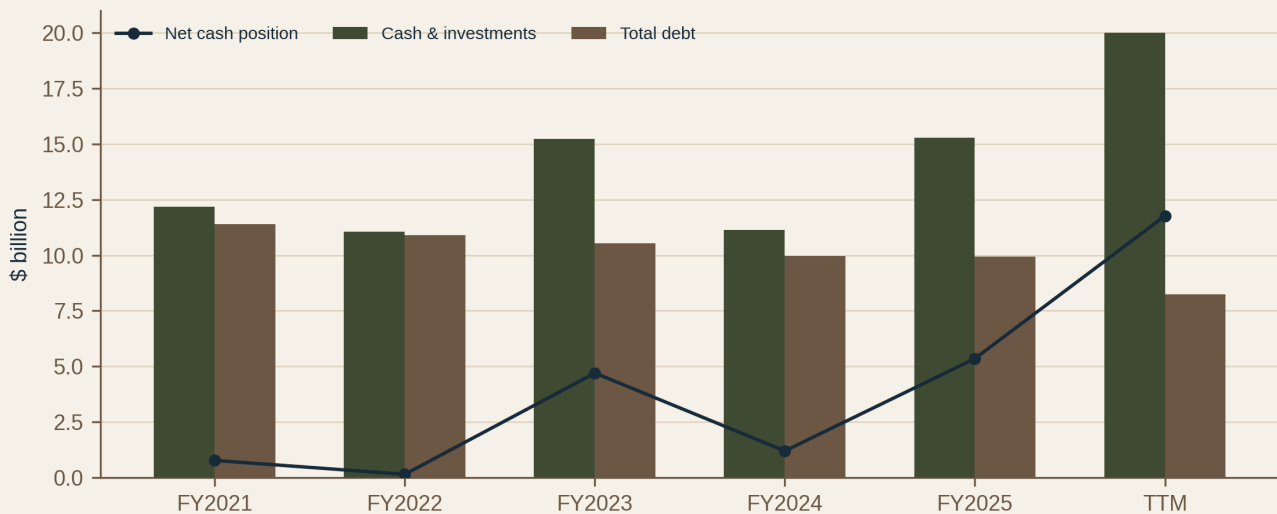
Revenue growth decelerated from a pandemic-and-inflation-elevated 17.5 percent in fiscal 2021 to 5.0 percent in fiscal 2024 before reaccelerating to 8.2 percent in fiscal 2025 and 9.2 percent on a trailing-twelve-month basis, a pattern management and analyst commentary attribute to a combination of comparable sales growth (volume and, to a lesser extent, price and mix), new warehouse openings, and, in the most recent periods, elevated membership fee growth following the September 2024 fee increase. Operating leverage is evident in the consistent widening of the gap between revenue growth and cost growth: operating income has grown faster than revenue in four of the past five fiscal years, driving the operating margin expansion documented in Section B1.

C2. Balance Sheet

CONSOLIDATED BALANCE SHEET, FISCAL YEAR (\$ MILLION) — REPORTED

Line Item	FY2021	FY2022	FY2023	FY2024	FY2025
Cash and equivalents	11,258	10,203	13,700	9,906	14,161
Total current assets	29,505	32,696	35,879	34,246	38,380
Property, plant and equipment, net	27,382	29,040	30,722	33,082	36,122
Total assets	59,268	64,166	68,994	69,831	77,099
Total current liabilities	29,441	31,998	33,583	35,464	37,108
Total debt	11,407	10,906	10,536	9,949	9,935
Total liabilities	41,190	43,519	43,936	46,209	47,935
Total shareholders' equity	18,078	20,647	25,058	23,622	29,164

Sourced: StockAnalysis.com balance sheet (S&P Global Market Intelligence). Total shareholders' equity for fiscal 2021 and fiscal 2022 includes minority interest of \$514 million and \$5 million respectively.

Cash And Debt Position, Fiscal Year (\$ Billion)

Sourced: StockAnalysis.com balance sheet data.

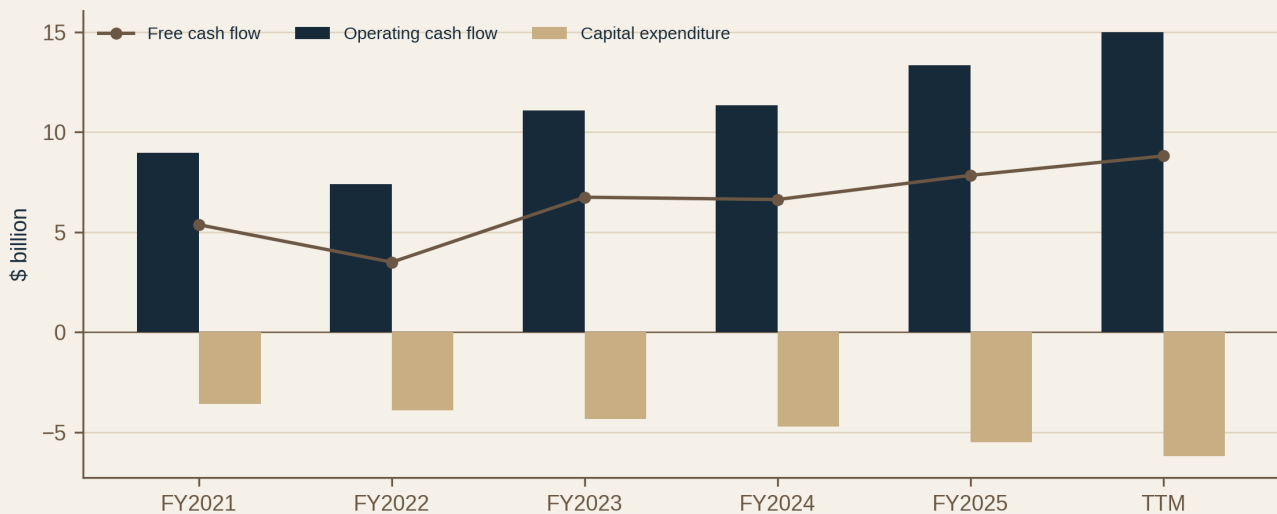
Costco's balance sheet strengthened markedly over the period shown: total debt declined from \$11.4 billion in fiscal 2021 to \$8.2 billion trailing twelve months, while cash and short-term investments nearly doubled, producing a net cash position of \$11.8 billion, the strongest of the six periods shown. Debt-to-EBITDA of 0.58 times and interest coverage of approximately 77 times indicate negligible balance-sheet risk. The company's working capital position is structurally negative in most periods (current liabilities, driven by accounts payable, exceeding current assets net of inventory), a feature typical of high-turnover retailers that effectively finance part of their operations through supplier terms rather than debt; this is a source of the strong cash conversion documented in Section C3, not a liquidity concern, given the offsetting strength of operating cash generation. No red flags were identified in goodwill concentration (goodwill of under \$1.0 billion against total assets of \$77.1 billion), receivables quality, or off-balance-sheet obligations beyond ordinary-course operating leases already reflected on the balance sheet under current lease accounting standards.

C3. Cash Flow Statement

CONSOLIDATED CASH FLOW STATEMENT, FISCAL YEAR (\$ MILLION) — REPORTED

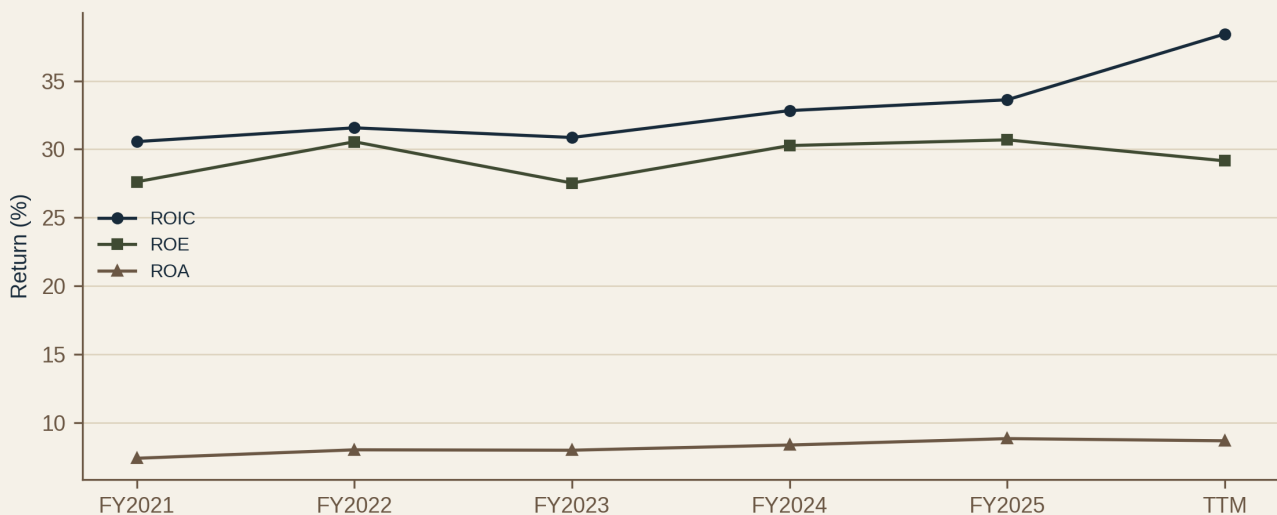
Line Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM
Operating cash flow	8,958	7,392	11,068	11,339	13,335	15,000
Capital expenditure	(3,588)	(3,891)	(4,323)	(4,710)	(5,498)	(6,194)
Free cash flow	5,370	3,501	6,745	6,629	7,837	8,806
Free cash flow margin	2.74%	1.54%	2.78%	2.60%	2.85%	3.00%
Dividends paid	(5,748)	(1,498)	(1,251)	(2,386)	(2,183)	(2,307)
Share repurchases	(808)	(802)	(979)	(1,015)	(1,296)	(1,245)

Sourced: StockAnalysis.com cash flow statement (S&P Global Market Intelligence). The elevated fiscal 2021 dividend figure reflects a \$10.00 per share special cash dividend paid in December 2020, a periodic capital return practice rather than a recurring quarterly rate.

Operating Cash Flow, Capital Expenditure And Free Cash Flow (\$ Billion)

Sourced: StockAnalysis.com cash flow statement data.

Operating cash flow has exceeded net income in every fiscal year shown (for example, \$15.0 billion of operating cash flow against \$8.8 billion of net income trailing twelve months, a ratio of 1.70 times), indicating that reported accounting earnings understate cash generation, principally because depreciation and amortization, stock-based compensation, and the favorable working-capital dynamics described in Section C2 are non-cash or working-capital add-backs to net income. Free cash flow margin has improved from 1.54 percent in fiscal 2022, a trough year for capital intensity relative to sales, to 3.00 percent trailing twelve months, though it remains modest in absolute terms relative to net margin because of the elevated capital expenditure required to sustain new warehouse construction.

Return On Invested Capital, Return On Equity, And Return On Assets (%)

Calculated: return on invested capital, return on equity and return on assets derived from StockAnalysis.com income statement and balance sheet data.

C4. Forecasting And Projections

Reasoned and estimated. The following scenario framework is the analyst's own construction, built from Costco's historical growth and margin trends and from consensus analyst growth expectations reported by StockAnalysis.com (three-year

forward revenue growth forecast of 8.34 percent and earnings-per-share growth forecast of 11.09 percent, as of August 2026), rather than company guidance, which Costco does not provide in the form of formal multi-year targets.

ILLUSTRATIVE FIVE-YEAR SCENARIO FRAMEWORK (ESTIMATED, NOT A FORECAST OF ACTUAL RESULTS)

Scenario	Revenue CAGR	Terminal Operating Margin	Key Assumption
Bull case	9–10%	4.3%	Comparable sales sustain high single digits; membership fee growth continues in double digits; international expansion accelerates in China and Western Europe
Base case	6–7%	4.0%	Comparable sales growth moderates toward mid-single digits as the 2024 fee increase anniversaries; new warehouse growth continues at a low-single-digit unit rate
Bear case	3–4%	3.6%	Consumer trade-down tailwind fades; tariff or freight cost inflation compresses merchandise margin faster than membership fee growth can offset

Working capital and capital expenditure: capital expenditure has run at approximately 2.0 to 2.2 percent of revenue in recent fiscal years, funding new warehouse construction (the company began fiscal 2026 with 914 warehouses and industry reporting on company disclosures indicates a target of approximately 940 by fiscal year-end), technology and supply-chain investment, and maintenance capital on the existing warehouse base. This report treats substantially all disclosed capital expenditure as a blend of growth and maintenance capital, since Costco does not separately disclose a maintenance-versus-growth split.

C5. Discounted Cash Flow Model

Estimated. The discounted cash flow analysis below is the analyst's own construction, using a five-year explicit forecast period, a terminal value based on the Gordon growth perpetuity method, and a weighted average cost of capital of 8.8 percent (Costco's own estimated WACC as reported by StockAnalysis.com, based on its capital structure, beta, and prevailing risk-free and equity-risk-premium assumptions). Revenue growth is assumed to decelerate from 8.0 percent in year one to 4.0 percent in year five; operating margin is assumed to expand gradually from 3.85 percent to 4.00 percent; the effective tax rate is held at the current 24.8 percent; and capital expenditure and depreciation are held at their trailing-twelve-month ratios to revenue.

DISCOUNTED CASH FLOW — FAIR VALUE PER SHARE SENSITIVITY (\$)

WACC \ Terminal Growth	2.5%	3.0%	3.5%
8.0%	\$279	\$300	\$325
8.8% (base)	\$246	\$262	\$280
9.5%	\$224	\$236	\$250

Calculated by the analyst using a five-year explicit unlevered free cash flow forecast and Gordon growth terminal value, net of Costco's reported net cash position of \$11.8 billion and current diluted share count of 443.5 million. This is a range, not a point estimate, and should not be read as a price target.

The resulting fair value range of approximately \$224 to \$325 per share sits materially below the August 28, 2026 closing price of \$945.47. Two reverse-engineered checks illustrate what the current price appears to require: holding the discount rate at the 8.8 percent base-case WACC, matching the current price requires a terminal growth rate near 7.5 percent in perpetuity, well above typical long-run nominal GDP growth assumptions used in conventional perpetuity valuation;

alternatively, holding terminal growth at a more conventional 3.0 percent, matching the current price requires a discount rate near 4.5 percent, below Costco's estimated cost of capital and below prevailing long-term risk-free rates. Reasoned: this gap does not necessarily indicate mispricing — it may instead reflect that a five-year explicit forecast window understates the duration of Costco's above-average compounding relative to what long-term holders and index-fund flows are implicitly underwriting, or that investors apply a lower effective risk premium to Costco's cash flows than a generic WACC calculation would suggest, given the demonstrated stability of its membership-fee revenue base. The magnitude of the gap is nonetheless a valid basis for caution, and is the central quantitative expression of the valuation risk flagged in Section B2.

C6. Leveraged Buyout Considerations

A leveraged buyout of Costco at its current scale (\$419.3 billion market capitalization) would be without precedent in size and is not a realistic transaction scenario; this section is included for completeness per the standard OCAD framework but is not a meaningful analytical exercise for a company of Costco's market capitalization, minimal existing leverage capacity relative to its enterprise value, and real-estate-intensive, low-margin operating model, which would not support the debt service levels typical of a leveraged transaction without materially impairing the low-price value proposition central to the investment case. No further leveraged buyout analysis is presented.

D. Investment Thesis

Bull Case

Costco sustains high single-digit to low double-digit revenue growth as new warehouse openings continue at a steady cadence and international markets, particularly China, Spain, and France, scale from a low base. Membership fee income continues to grow faster than merchandise sales, aided by rising Executive membership penetration (Executive members already represent just over half of the roughly 52 million memberships affected by the 2024 fee increase) and the 2 percent reward structure that incentivizes upgrade. Operating margin continues to expand toward 4.0 percent or beyond as ancillary businesses, including the newly launched Medicare Advantage initiative, scale. Under this combination, earnings growth in the low double digits, consistent with the current three-year consensus forecast of 11.1 percent EPS growth, would allow the stock's premium multiple to be sustained or only modestly compressed, supporting continued share price appreciation even without further multiple expansion.

Bear Case

Comparable sales growth decelerates as the post-pandemic and inflation-driven trade-down tailwind fades and the September 2024 membership fee increase anniversaries out of year-over-year comparisons. Tariff-related cost increases compress merchandise gross margin faster than membership fee growth or operating leverage can offset, particularly if Costco's public commitment to refund members for certain tariff-related costs proves more costly than anticipated. International expansion encounters regulatory, competitive, or consumer-preference obstacles in newer markets such as China. Under this scenario, earnings growth slows toward mid-single digits, and the stock's premium valuation, currently dependent on sustained above-average growth as illustrated in Section C5, compresses toward peer-average multiples, producing a period of multiple-driven share price underperformance even if the underlying business remains fundamentally sound.

Base Case

Revenue growth moderates from the current 9.2 percent trailing-twelve-month rate toward a mid-to-high single-digit sustainable pace as membership fee comparisons normalize, while operating margin continues a gradual, multi-year expansion toward 4.0 percent, consistent with the trend of the past five fiscal years. Capital allocation remains conservative, prioritizing continued warehouse network growth, the ordinary dividend (with continued annual increases, consistent with the 21-year record), and periodic special dividends over debt-funded acquisitions or aggressive buybacks. The valuation multiple likely remains elevated relative to peers, reflecting Costco's superior return on invested capital and balance-sheet quality, but is unlikely to expand meaningfully further from current levels absent an acceleration in growth beyond consensus expectations.

Catalysts

Near-term catalysts include the next quarterly earnings release (scheduled for September 24, 2026, after market close, which will report full fiscal 2026 results), monthly comparable sales releases, any further membership fee adjustments, the pace of Medicare Advantage plan rollout and member uptake, continued digitally-enabled sales growth from the Instacart partnership, and updates on new warehouse openings, particularly in international markets. A further special dividend declaration, consistent with Costco's periodic practice, would also be a notable capital-allocation catalyst.

Things To Monitor

MONITORING FRAMEWORK

Metric / Event	Why It Matters	Positive Signal	Negative Signal
Membership renewal rate (US/Canada and worldwide)	Direct measure of the durability of the fee-funded pricing model	Renewal rate stable or rising above 92% US/Canada	Renewal rate declining toward or below 90% worldwide
Comparable sales growth, monthly releases	Leading indicator of revenue and operating leverage trajectory	Comparable sales sustained above 6 to 7%	Deceleration below 4%
Membership fee income growth	Highest-margin revenue line and primary driver of operating margin expansion	Growth sustained in high single to double digits	Growth decelerating toward low single digits
New warehouse openings, by geography	Primary long-term growth lever and capital allocation signal	Openings on pace with the roughly 25 to 30 net annual additions guided by industry reporting	Material slowdown in openings, particularly international
Gross margin trend	Signals pricing discipline and tariff or input cost pass-through	Gross margin stable to modestly higher	Gross margin compression beyond 20 to 30 basis points in a fiscal year
Forward P/E relative to five-year average	Indicates whether the stock's premium valuation is expanding or normalizing	Multiple stable or declining toward historical average alongside continued earnings growth	Multiple expansion outpacing earnings growth

E. Final Investment Framework

BUSINESS QUALITY	High. The membership-fee-funded pricing model is a structurally differentiated economic engine within general retail, supported by the highest inventory turnover and among the lowest merchandise margins of any major listed retailer, both by design.
FINANCIAL QUALITY	High. Net cash balance sheet, operating cash flow consistently exceeding net income, interest coverage near 77 times, and a 21-year unbroken record of dividend increases.
COMPETITIVE POSITION	Strong. The only directly comparable listed peer, BJ's Wholesale Club Holdings, operates at roughly one-thirteenth of Costco's revenue scale; Walmart's Sam's Club is the more scaled competitive threat but is not separately reported.
MANAGEMENT	Favorable. Chief Executive Officer Ron Vachris rose through four decades of internal operating roles, consistent with Costco's historical pattern of internal succession; Chief Financial Officer Gary Millerchip brings external retail finance depth from Kroger following a long-tenured predecessor.
INDUSTRY	Mature and consolidating in the United States and Canada; growing in select international markets with lower warehouse-club penetration.
VALUATION	Elevated. Trailing P/E of 47.6 times and EV/EBITDA of 29.6 times sit above both Costco's own historical average and the discount and full-line retail peer group; a base-case discounted cash flow range of approximately \$224 to \$325 per share sits well below the current \$945.47 price, implying the market is pricing in either a longer duration of above-average growth than a conventional explicit forecast captures or a lower effective discount rate than Costco's estimated cost of capital.
TECHNICAL AND MARKET STRUCTURE	Neutral. Low beta of 0.86; price consolidating below the spring 2026 high of approximately \$1,097, trading modestly below its 50-day and 200-day moving averages as of late August 2026, with a Relative Strength Index near the midpoint of its range.
PRINCIPAL RISK	A sustained deterioration in the membership renewal rate or a comparable-sales growth deceleration that undermines the growth assumptions currently embedded in the stock's premium valuation.
PRINCIPAL CATALYST	Continued double-digit membership fee income growth and successful early-stage scaling of newer ancillary initiatives, including the Medicare Advantage rollout.
KEY VARIABLE	The trajectory of the membership renewal rate and comparable sales growth, which together determine whether the current premium valuation multiple is sustainable.
THESIS INVALIDATION	The investment thesis would become materially weaker if the worldwide membership renewal rate fell below approximately 88 percent for two consecutive fiscal years, if comparable sales growth decelerated below 3 percent for two consecutive fiscal years absent a broader macroeconomic recession explaining the slowdown, or if merchandise gross margin compressed by more than 50 basis points in a single fiscal year without a corresponding offset in membership fee income growth.

F. Company Snapshot

STANDARDIZED COMPANY DATA TABLE

Category	Metric	Current / TTM	Prior Year (FY2024)	5-Year Trend (FY2021 to TTM)
Market	Market capitalization	\$419.3bn	\$395.6bn (FY24-end)	\$199.1bn → \$419.3bn
Market	Enterprise value	\$407.5bn	\$393.4bn (FY24-end)	\$198.7bn → \$407.5bn
Market	Share price	\$945.47	\$882.67 (FY24-end)	\$426.77 → \$945.47
Growth	Revenue growth	9.2%	5.0%	17.5% → 9.2%
Profitability	Gross margin	12.88%	12.61%	12.88% → 12.88%
Profitability	Operating margin	3.82%	3.65%	3.47% → 3.82%
Profitability	Net margin	3.01%	2.90%	2.56% → 3.01%
Profitability	Return on equity	29.15%	30.27%	27.62% → 29.15%
Profitability	Return on invested capital	38.44%	32.83%	30.56% → 38.44%
Cash Flow	Operating cash flow	\$15.00bn	\$11.34bn	\$8.96bn → \$15.00bn
Cash Flow	Free cash flow	\$8.81bn	\$6.63bn	\$5.37bn → \$8.81bn
Leverage	Net debt / EBITDA	(0.85)x net cash	(0.10)x net cash	(0.09)x → (0.85)x
Valuation	P/E	47.56x	53.70x	39.76x → 47.56x
Valuation	EV/EBITDA	29.55x	34.15x	23.18x → 29.55x
Valuation	P/FCF	47.61x	59.68x	37.07x → 47.61x
Market	Beta	0.86	n/a	n/a
Market	52-week range	\$844.06 – \$1,096.50	n/a	n/a

Sourced: StockAnalysis.com (S&P Global Market Intelligence), Costco Wholesale Corporation SEC filings, and analyst calculations as identified in the source list. Net debt/EBITDA shown as a negative multiple reflects Costco's net cash position rather than net debt.

G. Sources And Methodology

Primary Sources

Costco Wholesale Corporation. Form 10-K, fiscal year ended August 31, 2025, filed with the U.S. Securities and Exchange Commission, October 2025.

<https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000909832&type=10-K> — used for segment structure, membership and warehouse disclosures, and as the underlying source for financial statement data compiled by secondary providers.

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<https://nypost.com/2026/08/28/business/costco-now-offering-delivery-for-its-most-cherished-items-and-its-a-huge-help-for-party-planning/> — Instacart delivery partnership, Section A3.

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<https://www.investopedia.com/costco-is-getting-into-medicare-12063311> — Medicare Advantage initiative, Sections A2 and A3.

TipRanks. "Costco Wholesale (COST) Is Now Canada's Second Largest Grocery Store Chain."

<https://www.tipranks.com/news/costco-wholesale-cost-is-now-canadas-second-largest-grocery-store-chain> — competitive positioning context, Section A4.

Market Data

StockAnalysis.com. Costco Wholesale Corporation (COST) — financial statements, ratios, statistics, company profile, and price history pages, data licensed from S&P Global Market Intelligence and Fiscal.ai.

<https://stockanalysis.com/stocks/cost/> — income statement, balance sheet, cash flow, valuation ratios, segment revenue, price history and statistics used throughout Sections Executive Summary, A to F. Last checked August 29, 2026.

StockAnalysis.com. Walmart Inc. (WMT), Target Corporation (TGT), and BJ's Wholesale Club Holdings (BJ) statistics pages.

<https://stockanalysis.com/stocks/wmt/statistics/> ; <https://stockanalysis.com/stocks/tgt/statistics/> ; <https://stockanalysis.com/stocks/bj/statistics/> — peer comparison data, Sections A4 and B3. Last checked August 29, 2026.

Alpha Vantage. Company overview and global quote data for COST.

Analyst rating distribution and closing price cross-check, Executive Summary and Section B3.

Calculations

Analyst calculations. Discounted cash flow fair value range and sensitivity table (Section C5); reverse-engineered implied terminal growth and implied discount rate; five-year scenario framework (Section C4); return on invested capital and return on assets series (Sections B1 and C3); all chart visualizations.

Methodology and assumptions disclosed in-line at each calculation. All calculated figures are clearly distinguished from reported figures throughout this report.

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